

Article | 12 August 2026

UNITED STATES

Cooling US inflation points to the Fed holding steady

Another benign inflation report following hot on the heels of a poor July jobs report has seen markets increasingly doubt the resolve of Fed hawks to deliver rate hikes this year. We see four key reasons for the disinflation trends to continue and expect the Fed to hold rates steady for a prolonged period



Low July inflation at the core and headline levels indicate the Federal Reserve may keep rates on hold for a prolonged period

2.5% Annual rate of core inflation

Inflation continues to cool

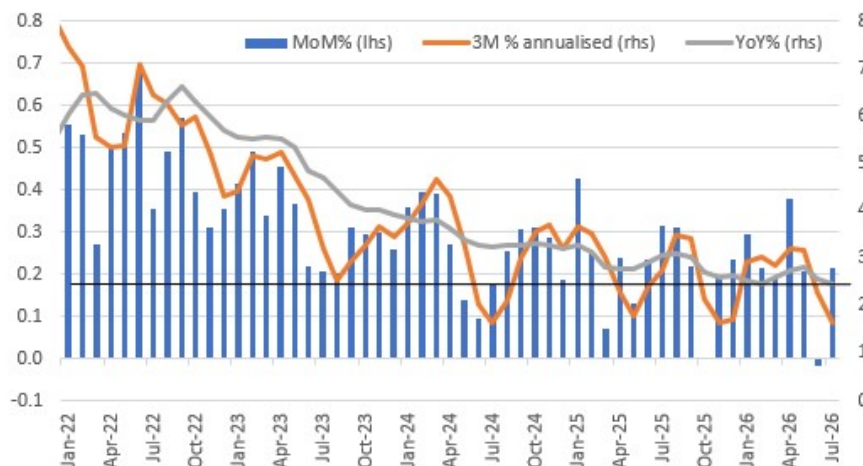
US consumer price inflation has come in as expected in July. After a remarkably benign June report, headline prices rose 0.1% month-on-month in July while core CPI (ex-food and energy) rose 0.2% MoM. This brings the year-on-year rate of inflation down to 3.4% from 3.5% for

headline while core inflation is now running at 2.5% versus 2.6% previously. In terms of 3M annualised core inflation, we are now down to just 1.6%, which, after the poor jobs report last Friday, should leave the Fed hawks less confident on the need for a rate hike, but we do have another job and inflation print plus the annual Jackson Hole symposium before the next FOMC meeting on 16 September. This will limit the scope for significant market reaction today.

In terms of the details, gasoline prices fell 2.9% MoM while shelter was subdued at just 0.1% MoM with food (+0.1%), apparel (+0.1%) and new vehicles (+0.1%) and other goods & services (+0.1%) all very well-behaved. Used cars and trucks (+0.4%) and medical care (+0.4%) and education (+0.6%) were the main areas of elevated price pressures, but all experienced falls in June and the underlying story looks OK. The main issue remains airline fares (+2.2% MoM/ 25.5% YoY), which mainly reflects higher jet fuel. That can quickly correct lower on a deal in the Middle East. Overall, nothing here to change our view that the Fed is set for a prolonged pause well into 2027.

The chart below shows core CPI under different metrics. The black line represents 0.17% MoM, which is what we need the blue bars to average to bring the YoY rate to 2% over time.

Core inflation metrics



Source: Macrobond, ING

Four reasons for inflation to slow into 2027

Gasoline can continue to contribute to lower headline inflation – remember that the current oil price of around \$83/bbbl is historically consistent with US retail gasoline prices of \$3.80/gallon – below the current AAA measured average US price of \$4 given refining margins have widened a touch. As such, if we get a deal to reopen the Strait of Hormuz and flow resumes, we should see margins compress, which will deliver lower gasoline costs.

Secondly, the heaviest weighted component in CPI is shelter, at 35% of the basket of goods

and services, which is currently running at 3.2% year-on-year. Affordability is stretched by high prices and elevated mortgage rates with the current number of housing transactions on a par with the 2008-12 post-GFC environment. Consequently, home prices are barely rising 1% and rents are now falling outright in a growing number of states, according to data from Zillow and Realtor.com. We expect this dominant component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We've gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Private wage growth, according to the Employment Cost index, is rising just 3.1% YoY, the same as average hourly earnings. That is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we're increasingly confident that their upward influence on inflation will rapidly fade. Federal budget data show the International Emergency Economic Powers Act (IEEPA) 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May, the new tariff system revenues were fully offset by the initial repayments of the IEEPA tariffs. June data showed the Treasury actually paid out \$25.5bn more in IEEPA refunds than it received under all other tariffs, and we expect the July numbers, to be released later today, to show an even bigger net refund. This boost to corporate cash flow should mitigate cost pressures elsewhere and therefore maintain the disinflationary trend.

'Chipflation' fears are overblown

The rising cost of semi-conductors, attributed to the surge in demand from data centre construction, has led to fears of 'chipflation' with anticipated price hikes for laptops, mobile phones and games consoles featuring heavily in the media. But we should remember that computer and communication have a very small weight within the basket – just 0.7pp versus 35% for housing. They also use hedonic pricing, so quality improvements come into the calculation. Hence, why within CPI smart phones are currently falling 10.9%YoY, yet the base level for most phones has not changed – camera improvements, better quality battery life, more powerful processors mean that you get more for your money. For the purpose of the inflation calculation, it results in a price fall.

Prolonged pause from the Fed

We recognise that the Fed has missed its inflation target for the past five years. Nonetheless, progress does appear to be being made and consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike.

Meanwhile, market inflation expectations are benign, with 10Y break-even inflation rates in line with their 25-year average. The market is still pricing a rate hike from the Fed, but we see the more likely course of action is for the Fed to hold rates steady for a prolonged period, well into 2027.

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Article | 5 August 2026

Stablecoins 101: Uncertain growth but the stakes are high

Stablecoins saw significant growth in 2025, drawing attention from issuers and regulators alike. Still, their long-term prospects remain uncertain. In the first article of our new series, we explore what stablecoins are, what could drive adoption, and why their future matters



Despite a sharp expansion, stablecoins now account for only about 7% of the broader crypto market

Executive summary

Stablecoins have seen significant growth over the past few years, reaching nearly US\$300bn in market capitalisation at the end of 2025. This rapid expansion has come with heightened attention from both regulators and potential issuers. However, the future of the crypto asset remains uncertain as further growth depends on whether it can develop beyond the crypto-landscape and expand into the broader payment world.

In our view, part of the path to becoming a broadly adopted instrument depends on the presence of a regulatory framework and interoperability with existing payment systems. However, estimating the future growth of stablecoins is difficult, as it requires predicting their relative attractiveness compared with alternative payment systems such as central bank digital currencies and tokenised deposits in a rapidly evolving

market.

While the jury is still out on how widely stablecoins could be adopted, it is important to consider a scenario in which uptake becomes significant, as this could have serious implications for financial stability, the banking sector, emerging markets, and monetary policy.

Despite the growing attention, many questions remain about what stablecoins are, how they work, and what role they could ultimately play in the financial system. In this piece, we explain the fundamentals of stablecoins, review recent market and regulatory developments, and explore the factors that could shape their future adoption. While the market is evolving quickly, their long-term prospects remain highly uncertain. Their eventual role in payments and savings will depend not only on regulation but also on whether they can compete with existing and emerging forms of digital money. In future publications, we will examine the implications of broader stablecoin adoption in more detail.

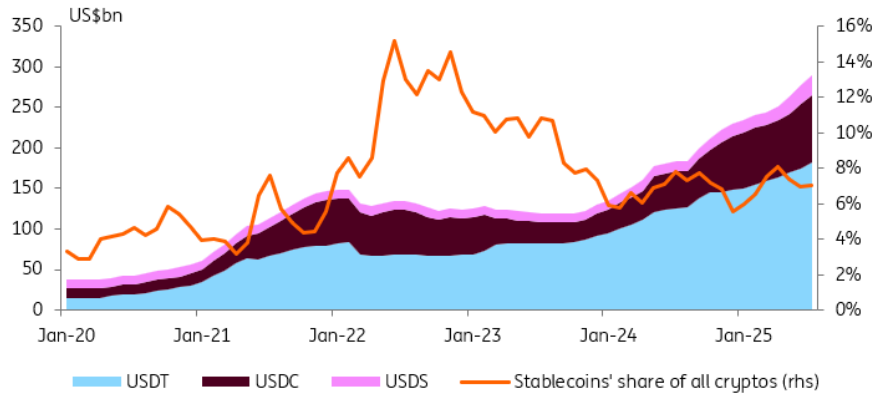
What are stablecoins?

Stablecoins are crypto assets issued by private institutions that promise a stable nominal value in a given currency, commodity or pool of assets. They are not issued or backed by a government or central authority but rather by a private institution and secured by segregated reserves. The crypto asset is issued on a Distributed Ledger Technology (DLT) (i.e. a blockchain) with three existing types of pegging mechanisms:

1. **Fiat-collateralised** stablecoins: backed 1:1 by reserves of cash or liquid assets. These are the most common and utilised type of stablecoin, currently representing over 90% of all stablecoins. We will focus on these in this piece.
2. **Crypto-collateralised** stablecoins: backed by over-collateralised crypto assets. The issuance of these stablecoins tends to be restricted by regulations such as the EU's Markets in Crypto-Assets Regulation (MiCAR).
3. **Algorithmic** stablecoins: not backed by real assets, but the peg to the chosen currency is maintained by a dynamic adjustment of the token's supply using algorithms or "smart contracts". Following the crash of the Terra project in 2022, algorithmic stablecoins now represent only a fraction of all stablecoins.

The total market capitalisation of stablecoins has surpassed US\$300bn globally, 99% of which is USD-pegged tokens. While still dwarfed by bank deposits, the rapid growth of the sector over the past five years (up by \$250bn) has drawn considerable attention. Despite the sharp expansion, though, stablecoins now account for only about 7% of the broader crypto market, a decline from their 2022 peak, as the market capitalisation of other cryptocurrencies has grown even faster.

Selected stablecoins' market capitalisation over time & share of all cryptocurrencies

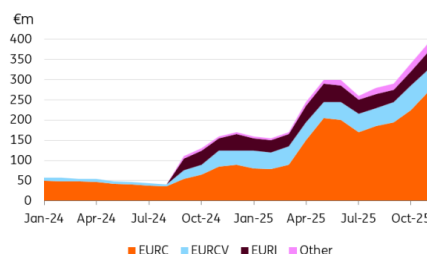


Source: ING Research, IMF / USDT = Tether, USDC = Circle, USDS = Sky Protocol

Euro-pegged stablecoins still only represent a fraction of all stablecoins in use, but their market capitalisation grew from €50m in early 2024 to nearly €400m at the end of 2025. Euro stablecoins remain in their infancy, accounting for only about 0.3% of the global stablecoin market despite recent progress.

Euro-pegged stablecoins remain at a nascent stage

Euro-pegged stablecoins' market capitalisation over time



Market capitalisation of stablecoins across currencies



Source: ING Research, ECB / EURC = Euro Circle, EURCV = Coinvertible, EURI = Eurite

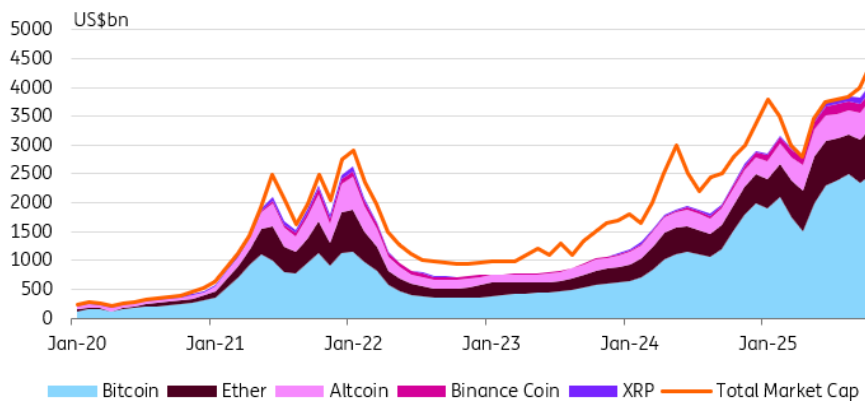
Available data shows that the use of stablecoins remains limited in the larger frame of global payments. Yet the sector's very rapid development over the past years suggests that could change. The new digital currency is forecast to grow exponentially, reaching anywhere between \$900bn and \$4.2tr by 2030. The wide variation in projections underscores just how hard it is to forecast the trajectory of stablecoins over the coming years. Indeed, **stablecoins' growth will depend on several factors: the regulation in place, interoperability with existing payment systems and, importantly, their use cases and relative attractiveness versus other payment systems (new or existing).** The next section delves into other technologies that could influence the growth (or lack thereof) of stablecoins.

How do stablecoins differ from other digital & crypto currencies?

Unbacked cryptocurrencies

Stablecoins are a form of crypto asset, but they differ from other cryptocurrencies by holding segregated reserves designed to maintain a one-to-one value with a chosen reference currency. This is not the case for “real” cryptocurrencies that are also issued and transferred using Distributed Ledger Technology (DLT) but not backed by liquid assets. These unbacked cryptocurrencies are, therefore, much more volatile and used mainly for investment and speculative purposes. Taken together, cryptocurrencies’ market capitalisation reached nearly \$4500bn at the end of 2025, about three times the level in early 2024.

Selected cryptocurrencies market capitalisation over time



Source: ING Research, IMF

Beyond stablecoins and unbacked cryptocurrencies, a new wave of digital currencies is gaining traction among both prospective issuers and regulators.

Tokenised assets

Tokenised assets are digital representations of real-world assets on a distributed ledger infrastructure. A wide range of underlying assets can be tokenised, including securities, bank deposits, and real estate.

Tokenisation is increasingly being explored for bank deposits, where the deposit itself is represented, stored, and issued on a DLT. Each token corresponds to a direct claim on a regulated commercial bank and remains on that bank’s balance sheet. Unlike stablecoins, tokenised deposits do not circulate as bearer instruments but are tied to identified account holders.

The usage of tokenised deposits currently remains limited and mostly experimental. However,

tokenised deposits can modernise payment and settlement infrastructures, as well as intragroup liquidity management. They promise faster settlement (near-instant, in fact), 24/7 transactions, programmability, and lower operational frictions (reducing reliance on multiple intermediaries). Tokenised deposits also offer regulatory advantages, as they remain fully within the existing supervisory framework; the underlying assets stay on commercial banks' balance sheets, preserving the same oversight and prudential standards applied to traditional deposits.

Central Bank Digital Currencies

Central Bank Digital Currencies (CBDCs) are digital forms of money that allow users to pay each other using a direct claim on the central bank. In other words, it aims to reinvent central bank money (cash and coins) in a digital form. CBDCs are often compared and opposed to stablecoins, but the main difference is their direct claim to the central bank. They are issued and maintained by the central authority, often but not systematically using DLTs.

CBDCs can be built for retail or wholesale use (for interbank settlements and large-value transfers). Only a few CBDCs are currently in use in the world (Bahamas, Jamaica, Nigeria and China with a large-scale pilot). But over 100 countries have projects to develop their own digital currency. This includes the EU, which is currently developing its own retail CBDC (the digital euro) and aiming for a 2029 launch. Read more on this in our piece [*The digital euro is making progress, European banks should pay attention.*](#)

In addition to the digital euro, the EU is looking at developing a wholesale DLT settlement strategy. The near-term project 'Pontes' will leverage existing T2 infrastructure and provide immediate central bank money settlement. It's expected to be launched in 3Q 2026. The European Central Bank also plans a full DLT-based wholesale CBDC ecosystem under the 'Appia' initiative, with a blueprint expected in 2028.

To summarise the four digital currencies discussed, the table below highlights the key differences across their main attributes.

Currencies comparison table

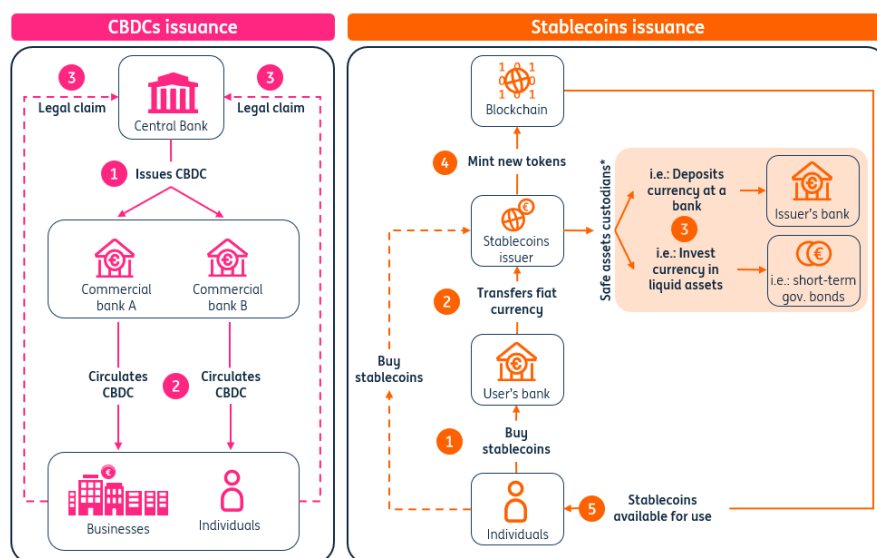
	Stablecoins	CBDCs	'Real' cryptos	Tokenised deposits	Bank deposits	Cash
Digital	✓	✓	✓	✓	✓	✗
Public	✗	✓	✗	✗	✗	✓
Blockchain use	✓	~	✓	✓	✗	✗
Programmable	✓	~	✓	✓	~	✗
Use without intermediaries	✓	~	✓	✗	✗	✓
Large price volatility	Limited by pegging mechanism	✗	✓	✗	✗	✗
Means of payment role	✓	✓	Not in the wider economy	✓	✓	✓
Unit of account role (used for invoicing)	✓	✓	Not in the wider economy	✓	✓	✓
Store of value role	Potential, especially if remuneration allowed	Not if implementation of holding limits	✗	Linked to real-world bank deposits	✓	✓
Regulation	Fragmented	National	Fragmented	✓	✓	✓

~ Possible ✗ No ✓ Yes

Source: ING Research

Both stablecoins and CBDCs aim to create a more digital and efficient means of payment, yet they are often portrayed as competing alternatives. Despite this, the two forms of digital money differ significantly. Their key differences can be illustrated through their issuance models, shown in the flowchart below.

CBDCs versus stablecoins issuance flow



Source: ING Research *examples of safe asset custodians, can vary depending on the regulation in place

The approach to stablecoins and CBDCs varies across the globe, with notable differences between the US and Europe. The transatlantic divide became increasingly apparent in the summer of 2025, when the US moved to support dollar-backed stablecoins while prohibiting the issuance of a CBDC. Europe has taken a different approach, arguing that a CBDC, the digital

euro, would enhance regulatory oversight through issuance and supervision by the European Central Bank.

Given the starkly different political approaches across jurisdictions, stablecoins are likely to evolve as primarily domestic or regional instruments, a dynamic that could shape and, potentially, constrain their overall growth potential.

For stablecoins to become systemically important, their use needs to extend beyond the crypto ecosystem into the broader, global, payments world. However, political positions are already signalling resistance to a global (dollar-pegged) stablecoin, with policymakers instead encouraging the development of multiple domestic stablecoins denominated in local currencies.

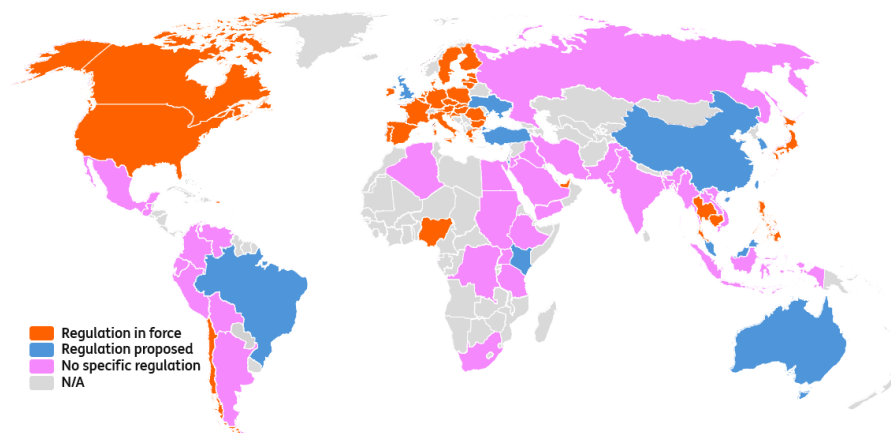
The absence of regulatory harmonisation reinforces this trend. Stablecoin issuers must adapt to each jurisdiction's rules, limiting cross-border scalability and undermining the emergence of a single dominant global stablecoin. The next section outlines the regulatory divergences across the US, EU, and UK.

Large regulatory differences and crucial remuneration uncertainty

Currently, 12 countries have stablecoin regulations in force, and another 10 have proposed texts that are not yet approved. The strongest stance against the issuance of stablecoins comes from China, where they're banned. This partly stems from the government's push for its CBDC; stablecoins are therefore viewed as direct competition.

The main laws are in place in the trading hubs, while other markets still lack specific stablecoin and crypto asset regulations. Despite recent developments at the national or regional level, there's an absence of international harmonisation and coordination on the topic.

Distribution of current stablecoin regulations worldwide



Source: ING Research, Visual capitalist

Because of the lack of international harmonisation on stablecoin oversight, existing regulatory frameworks diverge in several ways. The most important difference concerns the management of the safe assets. Indeed, issuers face various types and levels of restrictions for the segregated reserves. This could influence stablecoins' potential impact on the financial system.

Under US regulation (GENIUS Act), issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued. Permitted reserves include (but are not exclusively) cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators. The absence of specific limits or thresholds on each of these options gives USD-stablecoin issuers a relatively large degree of freedom to allocate their reserves.

This isn't replicated in the European legislation. MiCAR sets stricter requirements for E-Money institute issuers. These institutions (if systemic) are required to hold at least 60% of the safe assets as commercial banks' deposits (30% if non-systemic issuers). They're allowed to hold 40% of their reserves in liquid government bonds (70% if non-systemic issuers).

While the UK is still drafting its final stablecoin regulatory framework, the latest proposal includes restrictions on reserve investments. For systemic issuers, the Bank of England proposes prohibiting the use of commercial bank deposits and requiring that at least 30% of backing assets be held as non-remunerated central bank deposits. The remaining 70% could be invested in short-term government debt. The central bank argues that allowing commercial bank deposits as backing could introduce financial, operational, and contagion risks that could amplify a stress across the sector. Additionally, the UK is the first country to propose a temporary issuance guardrail for systemic issuers, limiting the amount of stablecoins issued to £40bn per issuer for an unspecified temporary period.

While myriad other divergences exist, we also note one convergence between the US, EU and UK regulatory frameworks: the ban on remuneration distribution. All three regimes prohibit stablecoin issuers from paying interest to holders. In the US, where broader crypto market legislation is still under negotiation, this restriction is heavily debated and could ultimately be revised.

Interest payments by stablecoin issuers remain prohibited in most jurisdictions. This restriction is central to the regulatory architecture, as it directly shapes stablecoins' appeal as a store of value and influences both adoption dynamics and its potential footprint in the broader financial system.

The table below summarises the main differences between the three regulatory frameworks. Read more on the various regulatory frameworks in the footnotes.

Summary of the US, EU and UK stablecoins regulatory frameworks

		US ¹ Genius Act	EU MiCAR		UK ² Regulation	
			E-money institute	Credit institution	Non-systemic issuers	Systemic issuers
1.	Access to central bank, lender of last resort	Case-by-case Fed decision	Forbidden	No restrictions		Bank of England considering backstop facility
	Central Bank deposit	Case-by-case Fed decision	Forbidden	Allowed	Allowed	Required i) ≥30% of assets; ii) upremunerated
2.	Asset investment policy					
	Commercial bank deposit	Allowed upper limit to be specified	Required ≥60% of assets (≥30% if non-systemic)	Allowed	Allowed	Forbidden
	Government bonds	Allowed ≤3m maturity	Allowed <40% of assets (<70% if non-systemic)	Allowed	Allowed	Allowed <70% of assets
3.	Stablecoins remuneration	Forbidden for issuer only	Forbidden for issuer and crypto-asset service providers (CASP)	Forbidden for issuer and CASP	Forbidden for issuer	Forbidden for issuer
4.	Issuance guardrail	None	None	None	N/A	Temporary £40bn

Source: ING Research, Fed, European Commission, BoE

1 US has three license levels: for a) bank and b) non-banks at federal level, and c) one at state level for smaller institutions. 2 Proposed UK-regime based on June 2026 proposal in Bank of England consultation

...driving the key uncertainty on stablecoins' uptake

Stablecoins' rapid growth over the past few years, in association with the lack of regulation, has raised concern for central banks across the world. Depending on future growth and use cases, stablecoins could have a significant impact on financial stability. For this to materialise, stablecoin use and adoption would have to go beyond the niche crypto-ecosystem and extend to the payment landscape.

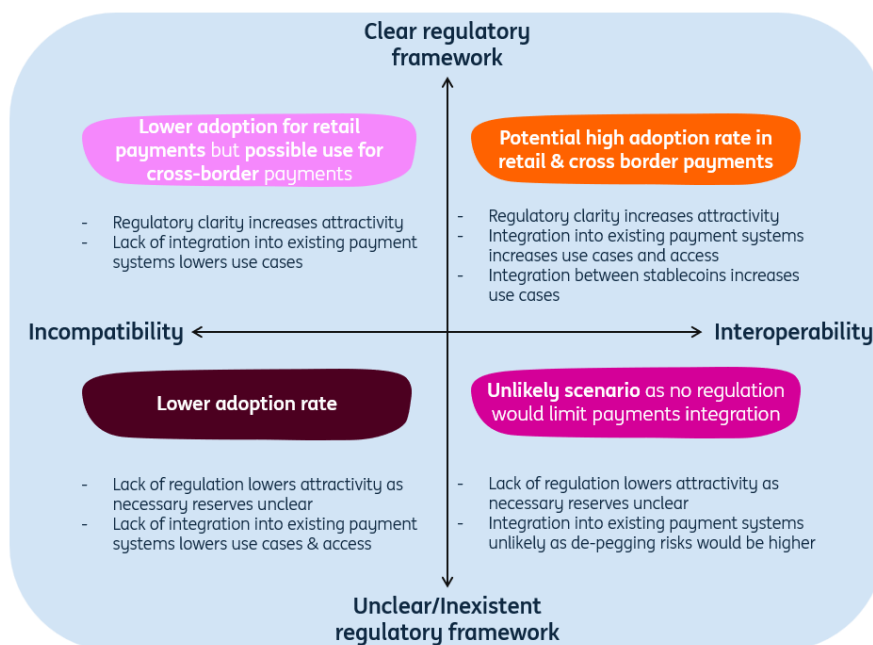
While stablecoins have grown significantly over the years, they are not currently "broadly

adopted". Currently, there's no set threshold determining what would constitute this broad adoption. Furthermore, the development of the crypto asset over the next few years remains unclear. In our view, the adoption uptake would depend on its use for two things:

- Payments
- As a store of value

Starting with the use of stablecoins in payments, there are three main variables. The first two factors are the presence of a regulatory framework and the degree of interoperability between stablecoins and existing payment systems. Mapping these variables produces a quadrant that illustrates four potential development paths for stablecoins.

Potential development of stablecoins in retail payments



Source: ING Research

A scenario with both a clear regulatory framework and full integration of stablecoins into existing payment systems would provide fertile ground for meaningful adoption in payments. However, the extent of such uptake depends on the third variable: the attractiveness of other payment systems (new and existing ones).

The existence and development of alternatives such as tokenised deposits and central bank digital currencies might limit the relative attractiveness of stablecoins. Even though payment systems in Europe remain relatively cheap and fast, that experience is far from universal internationally. For regions where payments are costly and slow, introducing new technologies such as tokenisation into existing systems could allow them to rapidly close the gap with the

advantages stablecoins offer, and potentially emerge as direct competitors to the crypto asset.

There is also a potential political push toward adopting central bank digital currencies, a dynamic relevant not only for jurisdictions with high payment costs but for the EU as well. The digital euro has become a central topic in the 'strategic payment autonomy' discussion and could directly compete with stablecoins for day-to-day payment use.

When it comes to the use of stablecoins as a store of value, a significant uptake would depend on two points:

- Whether direct remuneration by stablecoin issuers is allowed. The current ban on direct remuneration in major jurisdictions does little to support the use of stablecoins as deposit-like instruments, except in countries where real interest rates are negative. However, we can't exclude regulatory changes in coming years, especially as the topic is currently under discussion in the US with the upcoming Clarity Act. Read more on this in our regulatory footnotes below.
- The interest rate level paid on alternative deposit accounts (such as traditional bank deposits), as stablecoins could become more of a competitor to traditional deposit accounts in an environment where interest rates are zero or close to zero (which has been the case in the EU in recent years and is still the case in the US).

Only if, and with the right combination of these factors, could we foresee the adoption of stablecoins growing significantly to become broadly adopted. Yet, at present, it remains difficult to estimate the direction the crypto asset will follow in the years ahead.

Potential implications of stablecoins

Although stablecoins are not yet widely adopted and their future trajectory remains hard to pin down, our forthcoming articles will explore a scenario in which they scale enough to become a meaningful payment system. We see this as a necessary exercise: broad stablecoin adoption could carry significant and far-reaching implications for the financial system – spanning the banking sector, emerging market stability, safe asset demand, monetary policy transmission, and even geopolitical and cyber-risk dynamics.

Indeed, research has found that upon broad adoption, stablecoins could drive significant changes in banks' funding. Depending on the required reserves, this could translate into either a net drop in retail deposits or a switch from retail into wholesale deposits (as MiCAR requires stablecoin issuers to hold part of the reserves in EU commercial banks). Overall, it could make banks' funding structure more volatile as wholesale deposits are known to be less steady funding sources than retail ones (which are rarely moved across institutions). Also, wholesale deposits are costlier to hold for banks as the regulation imposes higher capital requirements, reflecting their higher volatility and general risk level.

Stablecoins could also have implications in emerging markets through currency substitution. It could amplify depreciation pressures under stress episodes by lowering friction around moving local currency into USD stablecoins. Countries with weak monetary credibility (i.e. high inflation, low interest rates) make stablecoins an attractive store of value and payment means, even outside stress episodes. The outflow to stablecoins could further undermine monetary policy transmission.

USD stablecoins also have the potential to boost demand for short-term US treasuries as issuers look for safe asset reserves. In principle, quick changes in transaction-driven demand could then amplify volatility in rates under a stress scenario. The proliferation of stablecoins (regardless of the currency) may also shift the composition of the overall monetary base with an asset reallocation from bank deposits into treasury/government bonds. This means potentially weaker monetary policy transmission through both the credit and interest rate channels.

While all these points remain theoretical implications of stablecoins, regulators are increasingly concerned and estimates on those impacts are developing. In future reports, we aim to contribute to the growing body of literature on this subject by diving deeper into each of these potential implications, seriously considering a scenario where stablecoins become a broadly adopted payment system.

Stablecoins are growing but the jury is still out on how big they'll get

Over the last few years, the market capitalisation of stablecoins has grown significantly, attracting the attention of both potential issuers and regulators across the globe. However, when it comes to the development of the crypto asset, it remains difficult to estimate an exact path. In our view, the growth of stablecoins in the coming years could be limited or strong depending on their uptake in both payments and as a store of value. Part of this growth to become a “broadly adopted” instrument depends on the existence of a regulatory framework and the interoperability with existing payment systems. The difficulty in estimating stablecoin growth comes from predicting the relative attractiveness versus alternative payment systems (new or old) as the sector quickly evolves.

It's important to consider a scenario where the use of stablecoins increases significantly, as this could have serious implications for financial stability, the banking sector, and emerging markets, as well as monetary policy. Therefore, in our upcoming series of articles, we will dive into potential impacts in more depth, starting with the implications of “broadly adopted” stablecoins for financial institutions.

Regulatory footnotes

The United States' GENIUS Act

Adopted in July 2025, the Guiding and Establishing National Innovation for US Stablecoins Act (GENIUS Act) establishes a regime to regulate US payment stablecoins. Despite the enforcement starting in January 2027, the mere adoption of the GENIUS Act had an immediate effect on USD-denominated stablecoins, with net stablecoin creation growing from about \$10bn in 2Q25 (before the regulation) to over \$45bn in 3Q25, a 324% increase in just a couple of months.

The regulation permits stablecoins to be issued by banks, credit unions and certain non-bank entities (although non-bank issuers are limited to financial firms unless the Stablecoin Certification Review Committee (SCRC) unanimously determines that they do not pose a risk to the banking or financial system).

Issuers face tailored capital, liquidity, and risk management rules but are not subject to the regulatory capital standards for “traditional” banks. Banks issuing stablecoins are regulated by the Federal Reserve, while non-banks fall under the Office of the Comptroller of the Currency (OCC) oversight.

Aside from permitted issuers, the GENIUS Act also clarifies stablecoin requirements. **Issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued.**

Permitted reserves include (but are not limited to) USD cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators.

Additionally, issuers of the digital currency must comply with several transparency and reporting requirements, including regular reporting on the reserve composition, and must run audits by public accounting firms. They are required to disclose the redemption procedures and comply with the US Bank Secrecy Act as well as tailored Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) rules.

The GENIUS Act also currently prohibits issuers from paying interest to stablecoin holders. However, the topic is open to discussion in the US as the proposed CLARITY Act (which aims to clarify the broader crypto asset regulatory landscape) could include the possibility for stablecoin issuers to distribute customer rewards.

The EU's Markets in Crypto-Assets Regulation (MiCAR)

MiCAR was adopted in 2023 and covers a wide range of crypto assets. The stablecoin rules gradually came into force through the end of 2024. They apply to both issuers and entities offering trading, custody, exchange and advisory on crypto assets. **MiCAR classifies crypto assets in three categories:**

- **Asset-Referenced Tokens (ARTs)**: stablecoins backed by a basket of assets such as fiat currencies or commodities
- **E-Money Tokens (EMTs)**: stablecoins pegged to a single fiat currency
- **Other crypto assets**: including decentralised cryptocurrencies and other tokens (not falling into the first two categories)

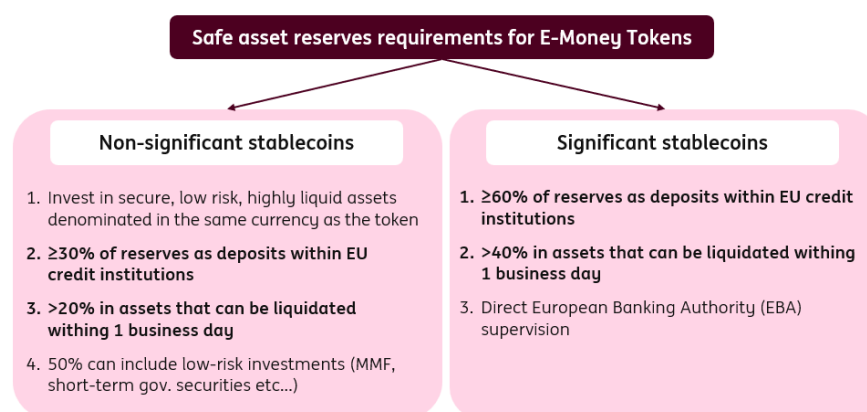
The regulation clarifies which entities are allowed to issue crypto assets in the Union, namely credit institutions and Authorised Electronic Money Institutions (EMIs). In addition, the EU differentiates cryptocurrencies by their size, including specific requirements for the largest assets.

Stablecoins are considered significant when (but not only):

- The **number of holders** is larger than **10m**
- The **value of the token** issued (market capitalisation or size of the reserve of assets) is higher than **€5bn**
- The **average number and transaction value per day** are higher than **2.5m and €0.5bn**, respectively

Under MiCAR, stablecoin issuers are required to have a legal entity established in the EU. The regulation sets out a list of requirements for stablecoins issued in the EU, starting with the prohibition on the distribution of interest on the tokens. It also establishes requirements for stablecoin reserves. For E-Money Tokens (EMTs) specifically, regulatory requirements differ depending on whether the issuer is classified as significant or not. The graph below summarises the safe assets requirements depending on the size of the stablecoin issuer.

MiCAR safe asset requirements per stablecoin issuer type



Source: ING Research, MiCA Regulation

Additionally, all issuers of stablecoins in the EU are subject to transparency and reporting requirements, including the publication of whitepapers on the token's functionality, risk and technology. Issuers must run quarterly stress testing and comply with the Union's AML/CTF

rules.

The UK's upcoming regulation

In June 2026, the Bank of England published a policy statement and draft rules for systemic stablecoin issuers. The BoE's approach to stablecoin regulation varies from existing frameworks as it plans to ban systemic issuers from holding part of their reserves with commercial banks.

The central bank argues that this decision is warranted by the financial, operational, and contagion risks that could arise between stablecoins and the broader financial system during periods of stress. This stance contrasts with the EU stablecoin regulation that requires issuers to hold part of their reserves as commercial bank deposits.

Issuers would therefore be required to hold at least 30% of the reserves in unremunerated BoE deposits and the remaining 70% in short-term UK government debt securities with a residual maturity of up to six months.

The draft rule sets aside the individual holding limit requirement announced previously and instead proposes a temporary issuance guardrail to mitigate risks to credit provision. Each systemic stablecoin issuer will be subject to an initial maximum issuance of £40bn. This limit would be reviewed, loosened and ultimately removed; the BoE doesn't include a timeline for such phasing out. If enforced as such, the UK would be the first country to officially regulate the amount of stablecoins issued, even on a temporary basis.

The proposal plans to require systemic stablecoin issuers to conduct an overall risk assessment to identify, monitor and mitigate risks. Additionally, it sets minimum capital requirements composed of six months of the issuer's relevant operating expenses or the cost of executing its recovery plan. It also requires notifying the central bank when its capital falls below 110% of the minimum requirements.

The Bank of England plans to install a statutory trust mechanism comprising two trusts: one to protect coinholders' interests and the other to cover the costs of returning value to them. Stablecoin issuers will thus be required to segregate the assets used for reserves and appoint third-party custodians to hold these. The proposal also includes a prohibition on the payment of interest and income to coinholders.

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Article | 4 August 2026

GERMANY

Low water levels are new setback for the German economy

Record low water levels in the Rhine could shave 0.3 percentage points off Germany's GDP growth this year



A heatwave in Germany has pushed Rhine water levels to record lows

Some might know that I used to be, and still am, a passionate rower. Rowing on Frankfurt's Main River is not always a pleasure. High water levels and strong currents in winter, combined with commercial river traffic throughout the year, do not make it an ideal place to train. That is, except when water levels are low.

For rowers, low water levels mean calm currents, flat water and very little traffic. Against this backdrop, I have witnessed the effects of climate change during the 12 years I have lived in Frankfurt: fewer periods of high water in winter and longer stretches of flat water in summer. Unfortunately, what has been good for my favourite hobby has become a clear risk for the German economy: low water levels.

Why the Rhine matters for German industry

Yesterday, my colleague Rico Luman [wrote about the impact of low water levels](#) in the Rhine and the consequences for supply chains. For Germany, however, the Rhine is not simply one transport option among many. It is a piece of industrial infrastructure around which much of German industry was physically built.

Roughly 285 million tonnes of freight move along the river annually, making it Europe's most

important logistics corridor after the open seas. It carries about 80% of all goods transported on Germany's inland waterways, while some 600 vessels cross the Dutch-German border every day. The corridor connects Rotterdam directly to three of Germany's largest industrial clusters: Rhine-Ruhr steel, Rhine-Main and the Ludwigshafen chemical complex.

This is no coincidence. The plants were built along the Rhine in the nineteenth century to benefit from barge transport and access to process water, and they have remained there ever since. When the Rhine runs low, the impact extends far beyond supply chains; it strikes at the heart of German industry.

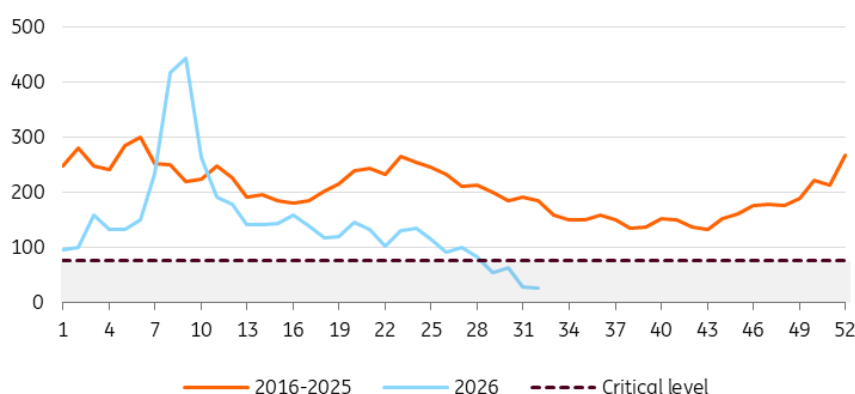
The Rhine's historic importance also means there are no real alternatives. Replacing a single barge can require up to 100 trucks or an entire freight train. And that's before taking into account Germany's well-known infrastructure challenges. Rail and road simply cannot provide a like-for-like substitute for Rhine transport. This is not to say that industry has not reacted to more frequent and longer periods of low water levels. Think of shallow-water barges and higher inventory levels.

Economic impact of low water levels

On Monday, the water level at Kaub fell to 24cm, the lowest level since records began in 1880. The last record low was 25cm in October 2018. This highlights how severe the current situation is. Normally, periods of low water occur between September and November, not in the middle of summer. Yet current forecasts for the next two weeks show little rainfall, suggesting that conditions are likely to worsen.

Water level in Kaub

(average per calendar week in cm)



Source: pegelonline.wsv.de

As the Rhine is home to crucial industries, the economic impact of supply chain constraints, and a potential reduction in production is much larger than the Rhine's c.6% share of total

German freight volume would suggest.

A 2020 Kiel Working Paper found that low water levels in the Rhine, particularly during the 2018 drought, affected the German economy through both transport and production channels. A full month of low water reduced inland shipping volumes by about a quarter, while industrial production fell by roughly 1%. Overall, the 2018 episode is estimated to have shaved around 0.3 percentage points off German GDP growth.

The risk is high that this time around, the economic impact will be larger. The low water levels at the start of August are unprecedented and fully out-of-sample when taking the Kiel paper as a proxy. Obviously, the economic impact now highly depends on the length of the current drought. A week of heavy rain could change the economic picture for the better immediately – even if this currently appears unlikely to happen. Unless the German government finds a reliable rainmaker, we should prepare to see a repetition of 2018 with a negative impact of at least 0.3 percentage points of GDP growth. This comes as a big setback given that the German economy has grown for three quarters in a row and was on track to reach annual GDP growth of some 0.8% this year. A blow to the recovery but not enough to ignite recession fears.

In any case, the negative economic impact will probably make my next outing less enjoyable. Or perhaps not. I may simply find myself humming R.E.M.'s *It's the End of the World as We Know It (And I Feel Fine)*.

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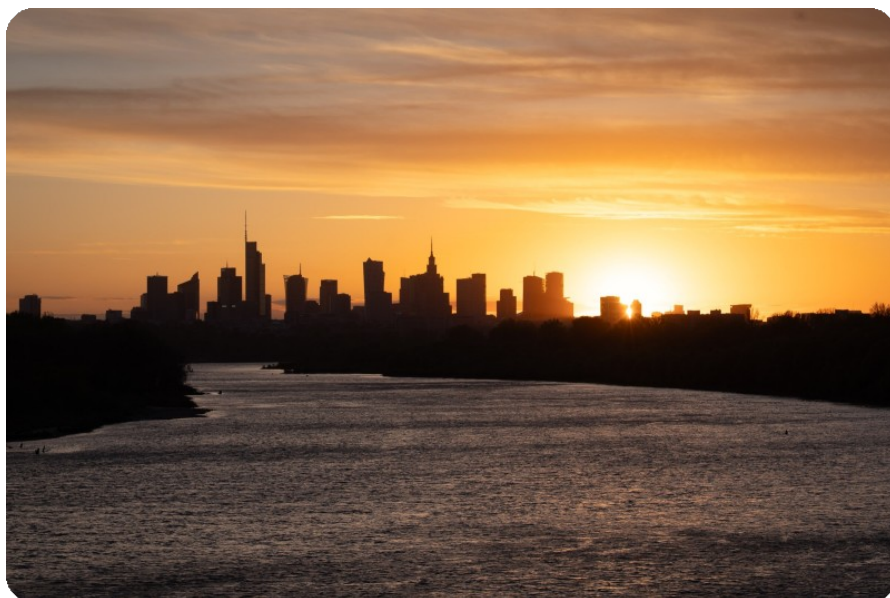
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Article | 14 August 2026

CEE & CCA week ahead: Polish industry and labour market data, Czech producer prices in focus

Polish industrial output, wages and PPI data will be in focus next week, alongside Czech producer prices



Warsaw, Poland

Poland: Industrial momentum to remain steady as labour market cools

Thursday brings July industrial output growth. In the absence of any calendar effects, with July 2026 having the same number of working days as in 2025, and with no significant one-off factors identified, we expect it to have remained moderate. Industrial activity has been performing somewhat better than at the start of the year and should continue to gain momentum as investment growth accelerates and projects financed under the Recovery and Resilience Facility (RRF) move into full implementation.

PPI inflation is likely to have risen to 2.0% year-on-year. While producer prices were broadly unchanged from June, a favourable base effect is expected to have pushed up the annual rate.

We will also get July labour market data on Thursday. We still expect moderate wage growth,

probably below 6% YoY, to be accompanied by a further decline in employment in the enterprise sector. The cooling labour market and the absence of significant wage pressures are among the factors helping to keep underlying inflation contained, despite the increase in petrol and diesel prices resulting from tensions in the Middle East.

In our view, softer labour market conditions should continue to limit the pass-through of higher energy costs into broader consumer prices, thereby preventing a more persistent build-up of inflationary pressures across the economy.

Czech Republic: Producer prices set to rise on higher input costs

On Monday, July producer prices are released. We expect an increase on the back of rising prices of basic materials, also supported by a weaker koruna against the dollar. That said, the annual pace likely remained subdued, as harsh foreign competition puts a lid on the ability to pass through increasing input costs to final prices.

Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 17 August				
Turkey	0900	Jul Budget Balance (TRY bn)	-	114.2
Czech Rep	0800	Jul PPI (MoM%/YoY%)	0.1/1.3	-0.4/1.3
Kazakhstan	-	Jul Industrial Production (MoM%)	-	12.9
Wednesday 19 August				
Russia	1700	Jul PPI (MoM%/YoY%)	-/-	-0.1/10.5
Poland	0830	Aug Consumer Confidence	-	-10.2
Thursday 20 August				
Turkey	1230	Gross FX Reserves (USD bn)	72.8	63.8
Poland	0830	Jul Employment Growth (YoY%)	-0.9	-0.9
	0830	Jul Industrial Production (YoY%)	3.7	7.6
	0830	Jul PPI (YoY%)	2	1.7
	0830	Jul Wages (YoY%)	5.9	5.9
Friday 21 August				
Turkey	0800	Aug Consumer Confidence	-	89.8

Source: Refinitiv, ING

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Article | 14 August 2026

ROMANIA

Romania: The current account worsens before it improves

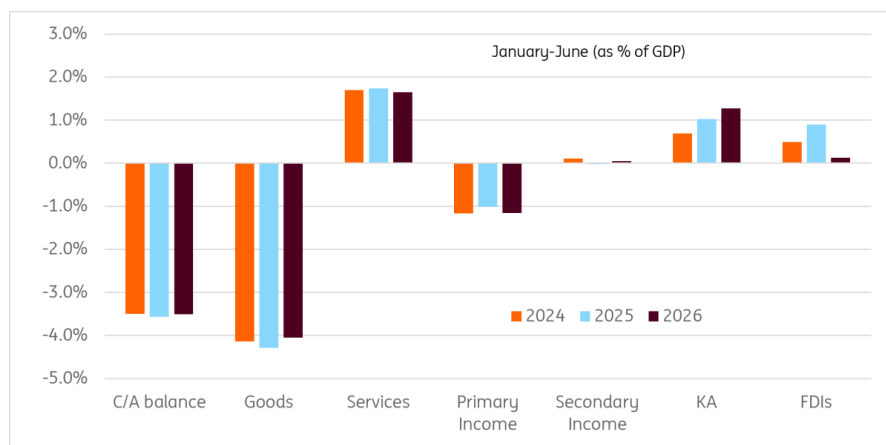
Romania's current account deficit widened to EUR14.2bn in the first half of 2026 despite fiscal tightening and a recessionary economy. The apparent contradiction is largely explained by higher investment-income outflows and debt-servicing costs rather than a deterioration in trade dynamics



Romania's current account worsened in the first half of 2026, but we expect an improvement in the second half of the year

Romania's central bank released June balance of payments data today, completing the picture for the first half of 2026. At first glance, the numbers appear counterintuitive. The economy has contracted or at best stagnated for three consecutive quarters, household demand is weak and fiscal consolidation has significantly reduced the cash budget deficit. Yet the current account deficit widened further in nominal terms, while posting only a marginal improvement as a percentage of estimated 2026 GDP.

The relative current account improvement is modest



Source: NBR, ING

The current account deficit reached EUR14.2bn in 1H26, up 4.8% versus 1H25. While this is moving in the wrong direction, the composition of the deterioration matters. Nearly all the widening came from the income balance, while the goods and services deficit was broadly unchanged at EUR9.7bn.

That distinction is important because fiscal tightening primarily affects domestic demand and imports. The external adjustment mechanism appears to be working, but more slowly than the headline current account figure suggests.

Rising income outflows are driving the deficit

The primary income deficit widened by EUR848m to EUR4.7bn, accounting for more than the entire deterioration in the current account balance. Contrary to what may be assumed, the shift was not driven by a surge in dividend repatriation. Outflows related to direct investment income increased only marginally, reaching EUR5.74bn in 1H26 from EUR5.70bn a year earlier.

Instead, higher financing costs played the dominant role. Portfolio investment income debits, likely reflecting the growing external debt burden and larger interest payments to non-resident investors, rose to EUR2.64bn from EUR2.33bn. Other investment income debits, which mainly capture interest on loans and trade credit, increased to EUR918m from EUR738m. At the same time, compensation of employees received from Romanians working abroad declined by roughly EUR190m.

In other words, Romania's external accounts are increasingly affected by the cost of financing past deficits rather than by current import demand.

Trade and services tell a more encouraging story

The goods and services deficit widened by only EUR61m year-on-year. Exports of goods and services increased by 4.2% in 1H26, slightly outpacing the 3.0% increase in imports.

Within services, the aggregate picture masks substantial divergences. The travel deficit widened to EUR2.48bn from EUR1.95bn a year earlier as Romanians continued to spend abroad faster than foreign visitors spent in Romania. However, this deterioration was largely offset by strong performances elsewhere. The surplus in other business services rose by one-third to EUR1.44bn, transport services generated a EUR3.2bn surplus, while IT, telecommunications and information services delivered a EUR3.6bn surplus.

The implication is that Romania's structural external earners remain resilient even as tourism continues to act as a persistent drag.

The recent stabilisation in the trade balance is also consistent with the gradual correction of Romania's twin deficits. Fiscal consolidation is reducing domestic demand, but the impact on imports tends to materialise with a lag, suggesting that part of the external adjustment may only begin to emerge.

At the same time, not all imports are equal. Part of Romania's large trade deficit in recent years has reflected a strong investment cycle, requiring sizeable imports of machinery, equipment and intermediate goods. To the extent that these imports are associated with productive capacity expansion, they should support future export potential and help improve the quality of the adjustment over time.

EU funds are providing an increasingly important source of financing

A more encouraging development came from the capital account. Net capital transfers, largely reflecting EU funds, increased by 32.5% year-on-year to EUR5.16bn. June alone brought EUR2.7bn in inflows. As a result, the capital account financed more than one-third of the current account deficit in 1H26. This reflects improved absorption of European funds and partially offsets weaker private financing flows.

FDI weakens sharply, but one-off effects appear significant

The most striking element of the release was, in our view, the collapse in net FDI inflows. Net direct investment amounted to just EUR527m in 1H26, down from EUR3.4bn a year earlier. Coverage of the current account deficit therefore fell to barely 3.7%, compared with around 25.0% in 1H25.

The underlying picture may be somewhat less alarming than the headline suggests. April

recorded a net FDI outflow of EUR745m, largely due to a EUR936m decline in equity capital and reinvested earnings. Given that 2025 was Romania's strongest year for net FDI inflows in several years, with inflows reaching roughly EUR7.5bn, part of the current weakness may reflect large dividend distributions and company-specific balance-sheet operations rather than a broad-based deterioration in investor appetite.

The key question for the second half of the year is whether what we've seen in the first half proves to be a one-off, which is more likely in our view, or the beginning of a more persistent slowdown.

Why the current account should improve in 2H26

Despite the somewhat disappointing first-half outcome, we continue to expect some narrowing of the current account deficit relative to GDP over the remainder of 2026. Several factors support that view:

- Fiscal tightening typically affects imports with a lag of several quarters;
- Dividend-related and interest-payment effects are concentrated in the first half of the year;
- Nominal GDP growth remains strong because of elevated inflation, helping to reduce the deficit ratio;
- Accelerating absorption of Recovery and Resilience Facility and cohesion funds should continue to support both financing and investment activity.

That said, the adjustment story should not be overstated. Romania entered 2026 with a current account deficit close to 8.0% of GDP. A move towards 7.0%, our estimate, remains achievable, but the path appears shallower and more gradual than the headline fiscal consolidation might suggest.

Looking further ahead, the adjustment should increasingly benefit from supply-side improvements rather than demand compression alone. The launch of Neptun Deep, together with continued investment in energy, manufacturing and strategic industrial sectors, has the potential to improve Romania's export capacity and reduce some of its structural external imbalances.

Bottom line

Romania's nominal external position deteriorated marginally in the first half of 2026, but we think that the details are less concerning than the headline suggests. The widening of the current account deficit in nominal terms was driven almost entirely by higher income outflows and debt-servicing costs, while the trade balance was broadly stable and exports continued to outperform imports.

The adjustment process therefore appears delayed rather than derailed. Fiscal tightening has

yet to fully feed through into import demand, while stronger EU fund inflows are helping finance the deficit. At the same time, part of Romania's external imbalance reflects an investment cycle that should support future productive capacity rather than consumption alone. The main uncertainty, in our view, is not the trajectory of the current account itself, but whether the sharp drop in FDI proves temporary or becomes a more durable feature of Romania's external financing mix. Longer term, the success of projects such as Neptun Deep will be important in determining whether Romania can finally move from cyclical correction towards a more durable improvement in its external balances.

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Article | 14 August 2026

CZECH REPUBLIC

CNB Minutes: Domestic and external factors at odds

Czech policymakers still view domestic factors as inflationary, while the foreign environment poses risks to future economic activity. Tight labour and housing markets are seen as the main concerns. Indeed, imputed rents remain a key driver of core inflation. We therefore use scenario analysis to gain a better understanding of the matter

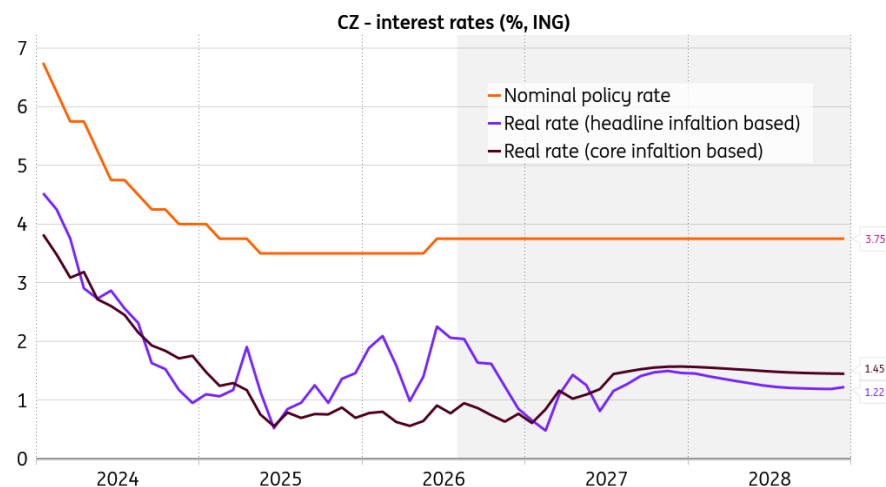


The CNB faces a difficult balancing act between slowing economic activity and persistent housing-driven inflation

Wait and see mode is possible for now

Czech policymakers left interest rates unchanged at 3.75% at the August meeting in a unanimous vote. Inflation is expected to remain in the upper part of the tolerance band for almost the entire forecast horizon, with broadly stable interest rates forming the baseline scenario. The Bank Board assessed the current monetary policy setting as appropriate, as the June interest rate increase provided additional tightening. Such a situation now allows for an ongoing assessment of the monetary policy impact on the economy.

Real interest rates remain in restrictive territory



Source: CNB, ING, Macrobond

According to CNB Board member Jakub Seidler, the case for tighter monetary policy remains intact, mainly due to persistent demand-driven inflationary pressures in the domestic economy combined with possible secondary impacts from higher commodity prices. Nevertheless, incoming data has been reassuring from the perspective of domestic inflationary risks, reducing the acute need for further action and allowing time to assess future developments. The most hawkish Board member, Jan Kubicek, sees three conditions for further rate stability – an easing of the robust wage growth, the long-awaited softening in core inflation, and less forceful credit creation.

Housing market and Hormuz drive uncertainty

Jan Prochazka noted that a low statistical base implies an increase in headline inflation at the turn of the year. However, this increase is expected and is therefore not viewed as evidence of renewed inflationary pressures. At the same time, high core inflation is considered problematic, also driven by strengthening annual dynamics of imputed rents. The future development of house prices represents a substantial source of uncertainty. The Board sees signs of some easing in the housing market, but the magnitude and speed of this slowdown have yet to be seen.

The implications of the Hormuz conflict remain difficult to quantify as the situation drags on, with the key question being the extent to which elevated commodity prices feed through into second-round inflationary effects. Jan Frait identified potential risks stemming from excess capacity in certain sectors, which could ultimately have disinflationary repercussions.

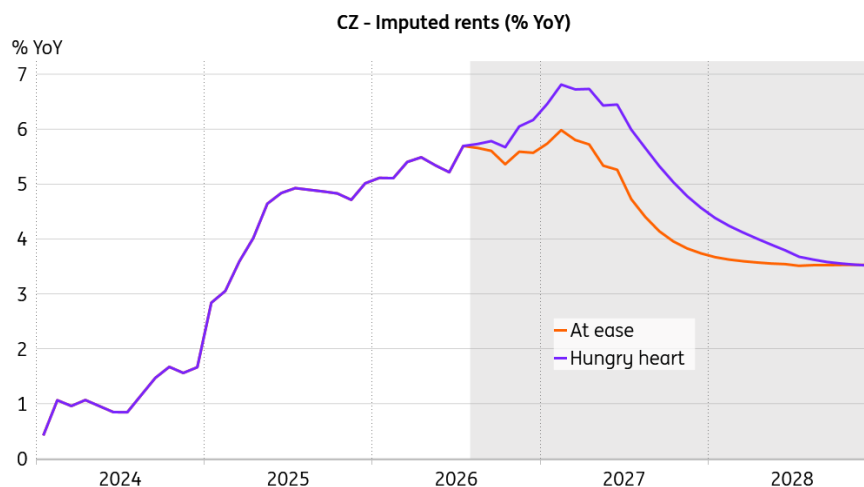
The GDP growth figures since the beginning of the year were considered to be rather disappointing but mostly connected to the external environment. A fully-fledged economic

expansion is expected only when global developments improve and foreign demand rebounds. Still, wage dynamics are seen as an important inflationary factor, despite heightened uncertainty in the wage data. This may be linked to the launch of a single reporting place for employers, which could result in reporting inconsistencies during the implementation phase.

Imputed rents and the rest of core inflation

We have updated our what-if analysis of the core inflation profile based on alternative assumptions of future house price developments. This time, we consider only two scenarios, as a decisive cooling of the housing market does not appear to be on the agenda at this point. The *Hungry heart* scenario assumes that quarterly property price growth will pick up again over 2Q and 3Q, and annual price growth will ease only marginally this year to 14% on average from 16% recorded in 2025. Under this assumption, imputed rents would quicken and peak at almost 7% year-on-year in 1Q27. In such a case, core inflation would peak at 3.6% in January next year and would prove slow to moderate thereafter.

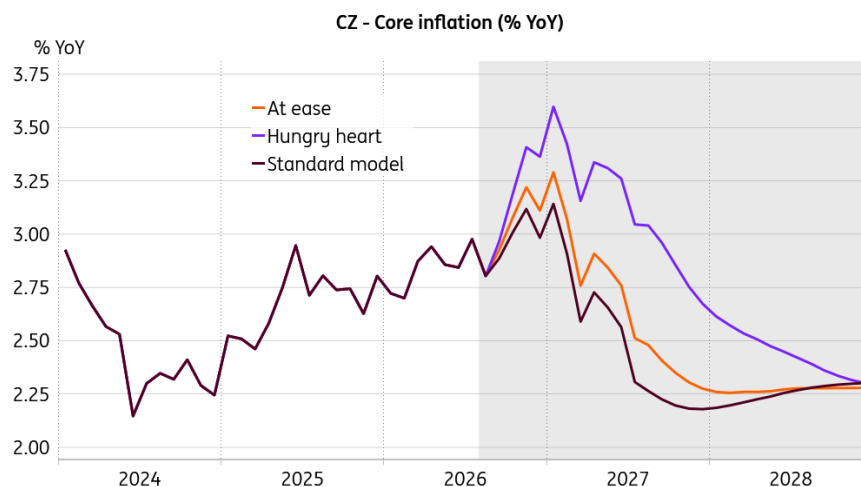
Rent dynamics set to remain punchy



Source: CZSO, ING, Macrobond

In the *At Ease* scenario, we assume that quarterly house price growth slows down further, to 2% by year-end. This would bring annual house price inflation below 10% in the final quarter of the year and reduce average annual house price growth to 12% in 2026. Under this scenario, imputed rents would peak at around 6% year-on-year in 1Q27, before entering a rather swift disinflationary phase. Core inflation would peak at 3.3% early next year and then decelerate more noticeably. This is close to our baseline scenario for the core rate, which is derived from a model that does not explicitly incorporate house prices or imputed rents, given the substantial lag with which real estate data becomes available.

Rents and core rate like Castor and Pollux



Source: CNB, ING, Macrobond

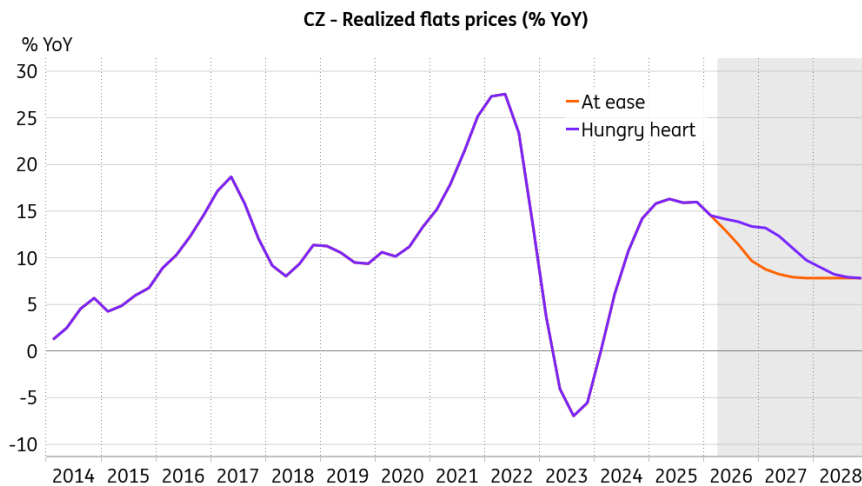
Compared with our March exercise, house prices and imputed rents have followed a path close to our upper-bound scenario, while core inflation has tracked the lower-bound scenario. We draw the quick and dirty conclusion that there is a trade-off between rents and the rest of the price dynamics in the core inflation consumer basket.

Double-edged sword of rising rents and risks to activity

And yes, rents are likely more affected by the external environment, including developments in Ukraine and migration flows into Czechia. It seems that things have worsened for Ukraine over recent months, with Russia intensifying rocket attacks.

This is one of the key reasons why any meaningful relief in house prices and rental inflation may not be in sight. At this point, money is flowing into the Czech housing market from domestic and foreign buyers, and the CNB has very limited options to do anything about it without killing the economy through prohibitively high interest rates, say around 7%. Even then, success would be far from guaranteed given the depth of demand from wealthier buyers. As a result, rents and the rest of the core inflation basket may continue to diverge. The million-dollar question is whether, and how, monetary policy should respond.

Resources to buy are still available



Source: CZSO, ING, Macrobond

For now, we take the stance that risks to future economic performance are still too high, and holding interest rates steady is the right answer. Indeed, the CNB faces two opposing risks. On the one hand, economic growth could turn out weaker than expected, generating disinflationary pressures. On the other, the housing market could heat up even further, with significant implications for rents and core inflation. At this point, we are just trying to stay one step ahead to see which of the two forces will prevail.

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Article | 14 August 2026

FX

FX Daily: EUR/USD starting to look cheap

Post-CPI summer trading conditions continue to keep FX volatility subdued, leaving EUR/USD largely anchored. Still, our models are pointing to some short-term undervaluation in the pair, supporting our moderately bullish bias for coming weeks. Gulf headlines remain a marginal factor for FX, more visible in some relative value trades than USD crosses



We see scope for a weaker dollar as expectations of further Fed tightening look overstated

➔ USD: Looking for a shift in Fedspeak

The post-CPI midsummer environment is understandably weighing on FX vols. We argued [yesterday](#), that this could remain the norm for at least the next couple of weeks. At the same time, we retain a preference for dollar downside, as we still believe market conviction around further tightening by the Federal Reserve is too strong.

For now, Fedspeak offers the clearest potential catalyst for market moves. There is still considerable uncertainty over the message that could emerge from the late-August Jackson Hole Symposium, particularly after a CPI report that leaned dovish without delivering a

definitive signal. Yesterday, we heard from Beth Hammack, who voted for a hike and continued to make the case for tightening, but also from Tom Barkin, who raised some doubts about the need for higher rates despite not being considered a dovish voice within the FOMC. Let's see if more centrist members start to soften their hawkish tone.

Today's US calendar includes July retail sales, expected at a modest 0.1% month-on-month, and the University of Michigan surveys, which are expected to show little change from August. These second-tier releases would likely need to deliver significant surprises to trigger a meaningful dollar reaction.

Meanwhile, headline fatigue surrounding the Middle East remains elevated. US-Iran negotiations appear to be at a stalemate, but Brent declined yesterday, providing some support for global bonds. The bar for the dollar to rebuild a strong direct relationship with oil prices remains quite high, and the impact of developments in the Gulf may remain more visible in G10 relative-value trades, where pairs such as NOK/SEK and AUD/NZD continue to track the energy story quite closely.

Francesco Pesole

➔ **EUR: Showing some undervaluation**

Our models suggest EUR/USD's short-term fair value sits in the 1.160-1.1650 area. That's primarily on the back of the c.10bp tightening in two-year swap rate spreads, which retain a significantly higher beta than other drivers.

That supports our positive bias on EUR/USD, even though we aren't convinced a break above 1.160 is on the cards in the coming days unless communication from the Fed starts to surprise on the dovish side. For now, EUR/USD bulls like us may be content with strengthening technical support around 1.1500.

In the eurozone, the second release of 2Q GDP will be released today, with no expectations for meaningful changes to the advance 0.4% quarter-on-quarter print.

Francesco Pesole

➔ **JPY: BoJ policy story having little effect so far**

Despite some sharp moves in Japanese money markets this week, the yen is failing to find any lasting support. Here, the big story is that the Japanese government might be more tolerant of a faster tightening cycle by the Bank of Japan. The prior assumption had been that a government focusing on growth would only allow the BoJ one hike every six months. The suggestion now is that Tokyo has elevated FX as a policy priority and wants to ensure that the first joint intervention with the US to buy the yen since 1998 is a success.

Markets now price close to a 75% chance that the BoJ hikes 25bp in September. That has seen two-year US:Japan swap differentials narrow nearly 40bp since mid-July. That should be weighing on USD/JPY. The fact that it is not may owe to benign conditions that continue to favour the yen-funded carry trade. That said, the risks to funding in yen are squarely increasing, and if we are right with our call for unchanged Fed rates in September, USD/JPY could well be trading back below 158. And to play independent yen strength in the interim, expect a lot more focus on short CHF/JPY positions.

Chris Turner

➔ CEE: Central bank signals take centre stage

Turkey's central bank [raised its inflation forecast](#) to 28% from 26%, bringing it closer to market expectations and our own forecast. It also signalled that the effective policy stance is likely to normalise as funding shifts from the overnight lending facility back to the repo window. We had expected this move in September, but the case for an earlier shift in August has strengthened. Today, Turkey will publish August inflation expectations, which have risen somewhat since the start of the US-Iran conflict.

Elsewhere, Romania releases 2Q GDP figures today, though yesterday's press conference by the National Bank of Romania governor was the main focus. While the central bank lifted its year-end inflation forecast to 6.1%, the governor said discussions on rate cuts could begin early next year. This matches our forecast, but the firm signal may still surprise markets.

In the Czech Republic, the Czech National Bank will publish minutes from last week's meeting, when rates were left unchanged at 3.75%. The minutes may reveal a more dovish discussion than markets expect. The CNB will also release its full inflation report.

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Article | 13 August 2026

RATES SPARK

Rates Spark: The yen link to US Treasuries

US inflation data this week has been contained and very welcome for Treasuries. It absolutely eases higher rates pressure. But that pressure is far from gone. Real yields are higher and will likely remain so. The fiscal numbers are slipping. And keep a close eye on the yen and how it's dealt with in the coming weeks and months, as Treasuries can be impacted



Real yields in the US remain high and with fiscal numbers slipping there could be negative feedback into Treasuries if more intervention to support the yen is entertained

A link between yen pressure and Treasuries pressure is there. It may be nothing, but then again

There is a clear impulse running from the recent Japanese yen intervention saga to interest rate markets. We assert that prior JPY weakness is a manifestation of tension stemming from an uber-cautious Bank of Japan and a policy rate that remains too low. On our updated calculations, the Japanese policy rate today is some 50bp below neutrality as measured from our estimate of the interest rate buffer vis-à-vis the Federal Reserve. See more on the formulations [here](#). The tension stemming from this is reflected in a super weak yen and very elevated long-dated Japanese government bond yields, with the 30yr yield in the 4% area. This tension can be eased through rate hikes, and the sooner, the better. While that could be

construed as negative for the economy, it's also a choice. Prioritise the protection of the yen, or not? That's the first impulse.

The second impulse revolves around the recent intervention that saw Japan and the US engage in co-ordinated action to strengthen the yen. It's quite probable, behind the scenes, that Treasury Secretary Bessent voiced an expectation that the Bank of Japan tightens policy as a support to the intervention. On top of that, the Treasury Secretary chose to sell euros to buy the yen, which is unusual, as typically the trade would have been to sell the US dollar, not the euro. While there has been no clear rationale offered for this, it is quite possible that the Treasury Secretary simply preferred not to engage in a trade that would manifest in the selling of US Treasuries; whether through the intervention process, or in the wider marketplace. Again, no clear messaging that this was the case. But it could be inferred as possible.

Ahead, we need to keep a close eye on these circumstances. It seems that the yen is intent on testing 160 versus the US dollar again, as it continues to creep in that direction. And why not, as the prior tension has not magically disappeared. Timing is uncertain, and there would be a heightened expectation that such a test would be met with official resistance again. Important to monitor whether and to what extent there is a negative feedback loop into US Treasuries as further intervention is entertained. If the US Treasury were again to sell euros, could the European Central Bank, for example, choose to balance the trade by selling US dollars, and by extension, US Treasuries? While it would typically be short-dated sales, the impulse can be felt right out the curve.

On top of all that, the July US fiscal numbers were not great (see more [here](#)), and can independently pressure Treasuries. Meanwhile, the ratchet higher in longer-dated real yields since February is a feature that we're not expecting to see unwound any time soon. And the 0.5bp tail on Wednesday's 30yr Treasury auction is untimely, despite its concessional pricing. Lots of themes swirling around here, and mostly laced with negative pressure. On a more constructive note, the latest US inflation data has reduced the tension for higher US rates. A September Fed hike is no longer discounted. That should not stop the Bank of Japan from doing the right thing. In fact, it would help a hike to stand out, which would help. Still a month away though.

Friday's events and market view

With this week, markets have passed the first set of data tests for their Fed assessment. Until we get to the next jobs and inflation data ahead of the September Fed meeting, other data are likely to play only a secondary role. The US releases this Friday are the July retail sales numbers as well as the University of Michigan consumer sentiment index. The Fed's Goolsbee is scheduled for a TV appearance. Out of the eurozone we will get the second Q2 GDP reading as well as June's trade balance.

There is no sovereign bond supply scheduled for the day, but on the ratings front, Fitch has pencilled in a possible review of the UK's AA-/Stable rating and Moody's will look at Austria's Aa1/Negative rating.

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Article | 13 August 2026

FX

FX Daily: Boring CPI, boring August?

Yesterday's unexciting US CPI print left FX with little sense of direction into the end-August Jackson Hole Symposium. What can stop this relentless decline in volatility? Gulf news, FedSpeak and big surprises in tier-two data are all possible candidates. But there's a good chance they won't, and EUR/USD may stay in tight ranges for the next few weeks



US jobs and CPI reports have knocked 5bp off September FOMC expectations, but 9bp remains in the price

➔ USD: Markets remain hawkish after CPI

The dollar had a short-lived negative reaction to the spot-on consensus 0.1% headline and 0.2% core month-on-month CPI print yesterday. The driver was a small dovish repricing in Fed rate expectations, which told us that markets were positioned for a slightly hotter print than consensus. In any case, the release did not provide a conclusive answer for front-end rates and FX direction, and the dollar ended the day stronger, perhaps on some net long rebuilding after this round of US data.

In our assessment ([more here](#)), core inflation running at a 1.6% three-month annualised is weakening the case for Fed tightening. But markets remain hawkish. The jobs and CPI reports have together knocked 5bp off September FOMC expectations, but 9bp remains in the price. For December, the repricing was -10bp, but a full 25bp hike is still embedded in the curve.

This tells us two important things for FX. First, there is reluctance to price out further Fed

tightening, which is keeping dollar bulls active. Hawkish Fed communication is the main culprit. The other factors are a combination of lingering attachment to Warsh's June price stability commitment, not entirely nullified by the July press conference, and months of strong data before July. Second, there is plenty of downside for front-end USD rates and, by extension, the dollar, if we are right to think the Fed won't hike.

Anyway, the consensus CPI print was a missed opportunity for FX markets to gain clearer direction ahead of the 27-29 August Jackson Hole Symposium, which still looks very much a 'live' event. Next week's FOMC minutes should offer some insight into the Committee's latest thinking, but unless we see a major surprise in today's PPI data or other second-tier releases over the coming weeks, Fed pricing may settle and FX volatility may compress further. Even so, we expect Fed communication to gradually soften its hawkish tone and keep risks on the downside for USD.

In all this, the Gulf situation may regain some relevance for FX, in particular through the risk-sentiment implications of the Strait of Hormuz negotiations.

Francesco Pesole

➔ **EUR: Testing the ranges**

We retain a preference for EUR/USD upside following the latest US data. That view is rooted in our Fed assessment outlined above, though it must be balanced against the risk that renewed escalation in the Gulf could provide fresh support to the dollar.

Our target for the coming weeks remains 1.160, followed by 1.17 in autumn and 1.18 by year-end. The absence of a clear catalyst, however, may keep EUR/USD range-bound for longer, while vols test recent lows.

We will be watching closely for another test of 1.150. Our bias is that buyers would re-emerge there, potentially nudging the dominant trading range higher to 1.150-1.160.

Francesco Pesole

➔ **NOK: Some dovish risks from Norges Bank today**

This morning's Norges Bank meeting carries some downside risks for NOK. [In this article](#), we discuss why we think policymakers will keep rates at 4.25% (in line with expectations), but still expect them to hike rates again later this year. That's based on our call for an underlying inflation rebound in coming months. Accordingly, we also don't think they will remove the reference to further tightening from today's statement.

However, we cannot ignore the two benign 2.7% CPI-ATE prints in June and July and how they might tilt the balance to a slightly less hawkish tone. We see little upside room for front-end

NOK rates anyway at this stage. Markets are pricing in 27bp of tightening by year-end, broadly in line with our base case, but we have become less convinced about another hike and even less convinced about the prospect of more than one.

That is not a major concern for our bullish NOK views, however. Fundamentals and an attractive carry regardless of another hike, and we remain bullish on the krone with a 10.75 target versus EUR at the end of December.

Francesco Pesole

📈 CEE: Macro tests for the rates repricing

In Poland, the final July CPI release should confirm headline inflation at 3.0% YoY, up from 2.5% in June, mainly on the back of higher gasoline and diesel prices. Our initial estimate points to a pick-up in core inflation from 3.0% to 3.1%, and the detailed basket should show whether the increase was limited to fuels or accompanied by broader price pressure. The flash 2Q26 GDP estimate should show a further acceleration in activity. We forecast growth at 3.8% YoY, up from 3.5% in 1Q26, despite a further slowdown in private consumption. The main offset should come from stronger investment growth, supported by EU-funded projects and a recovery in capital spending.

In Turkey, today's focus is the CBT inflation report, the first major communication after last week's decision to keep the one-week repo rate unchanged at 37% and maintain the current liquidity setup. We expect markets to look for any change in the inflation path, the balance of risks and language around the timing of policy normalisation.

In FX, yesterday delivered the expected Czech koruna gains after the spike in rates. EUR/CZK is back in the 24.200-24.250 range, and we still see scope for a move below 24.200. EUR/PLN is lagging slightly, but we also see room for a move lower towards 4.290. EUR/HUF continues to struggle to settle lower, with a lack of positive local drivers for now.

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Article | 12 August 2026

RATES SPARK

Rates Spark: Inflation is and isn't the issue

US consumer price inflation came in tame, yet bond yields end up where they were, or higher. The culprit? Higher real yields. The US fiscal deficit for July subsequently came in high, adding to the pressure. There's a degree of comfort here at elevated yields, and it's not really all about inflation. That said, the meandering war backdrop is of no help



The fiscal deficit for July came in on the high. The fiscal deficit for fiscal 2026 is running higher than fiscal 2025

US CPI was good (as expected), while the fiscal deficit was bad (also as [we] expected)

There was no big market reaction to the [benign CPI report for July](#). Market break-evens have been discounting a benign inflation story for some time now, with break-evens comfortably below the 2.5% printed for core inflation. Still, it was a good number, and better for the front end than the back end on the theory that it takes pressure off the rate hike narrative. That said, higher real yields were the chief underpinning on the day, and that's in fact been thematic over the past number of months. The thing is, real yields today are not *high*. They are normal. Back to where they were pre-GFC. Which suggests they can remain elevated.

The US fiscal deficit for July came in at USD432bn – high! The cumulative fiscal deficit is now

running at USD1.8tr. That's some USD170bn higher vs 2025. It's now homing in on coming in some USD200bn higher than for fiscal year 2025. Not a number that bonds typically get excited by, as for bonds, it's really all about the issuance number and profile. But this does place upside to issuance pressure ahead, which should add some credit pressure to the determination of long-end rates. The deficit had been shielded by tariff income. Tariff refunds are part of the issue. But the underlying picture is tending to turn net sour also.

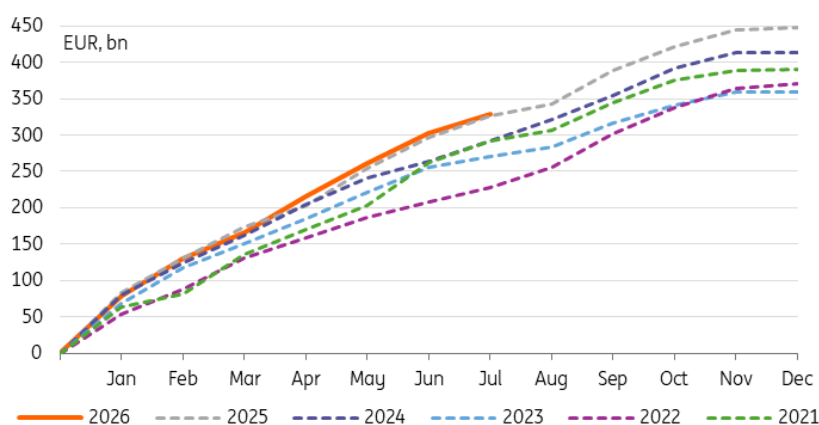
The overall prognosis here is for the 10yr Treasury yield to trend towards the 4.75% to 5% area. Going above is not an option that Treasury Secretary Bessent would accept. But getting close is the trade.

Count down to the reopening of the SSA primary market

The public sector EUR primary market is currently still in its summer break. Although we are seeing some issuers on the government side maintain their activity, others, like Italy or Spain, have cancelled upcoming bond auctions for August.

In the broader EUR-denominated Sovereign, Supranational and Agency (SSA) space, the last benchmark deal dates back to early July, and there has been a drought since mid-July. Last year, it was the German issuers, one Lander issuer followed by KfW, who were first to come out after the summer break around this time of the year – i.e. mid-August. We have now seen IBB (Investitions Bank Berlin) mandate a bank for a €0.5bn social bond tap, but a first EUR SSA benchmark deal should come soon after, with next week likely to see the primary market reopening in full swing. That said, many issuers are entering the second half of the yearly issuance cycle with their funding progress already well advanced.

EUR SSA issuance progress compared to previous years



Source: BondRadar, ING

Thursday's events and market view

After a benign CPI reading largely in line with market expectations, the attention turns to producer prices, where slightly hotter monthly increases are anticipated. The year-on-year rate is still expected to slip below 5%. With an eye on the labour market, the jobless claims numbers will be followed closely, with the weekly initial claims at already low levels. Two Fed speakers are lined up with Hammack and Barkin.

Out of Europe, we will get the UK's monthly GDP numbers as well as industrial production data for June. We will also see the eurozone's industrial production data for June.

With Italy's auctions for Thursday cancelled, bond supply will only come from the US with the sale of a new 30y bond (US\$25bn).

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